TOPIC 3 · ECONOMIC ISSUES

ABC News (Nathan Morris) · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

Oil shock speeds up Australia's switch to electric vehicles

Battery electric cars **outsold petrol cars** in Australia in both September and October 2026. Researchers say high oil prices from the Iran war are pushing consumers toward electric transport.

WHAT HAPPENED

- EVs now make up **close to a quarter** of new car sales in Australia.
- Battery electric cars outsold petrol cars in **September and October 2026**.
- An Ember report estimates the global EV fleet saved about **$20 billion** in crude oil costs in the six months after the war began.
- Ember says solar provided about **three-quarters** of the growth in global electricity demand last year.
- The shift is still early: EVs are only about **5%** of cars on Australian roads, and coal, oil and gas still supply about **60%** of the world's final energy use.

~¼
EV share of new car sales in Australia

~5%
EV share of all cars on the road

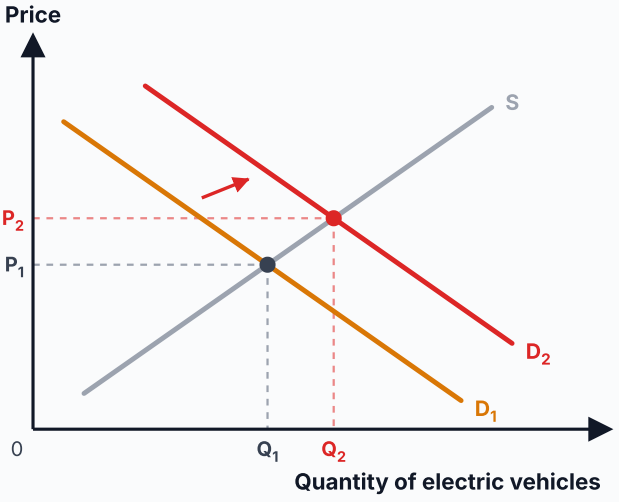
~$20b
crude oil costs saved by the global EV fleet in six months (Ember)

Substitutes: goods that can replace each other; when one gets dearer, demand for the other rises

Relative prices: the price of one good compared with another

DIAGRAM

Dearer petrol increases demand for EVs



Petrol cars and EVs are **substitutes**. Higher petrol prices make EVs relatively cheaper to run, so demand for EVs shifts from **D_1 to D_2**.

Quantity sold rises from **Q_1 to Q_2** and the market price rises from P_1 to P_2 (other things equal).

Exam angle: price signals can drive environmental change. Higher fossil fuel prices act like a carbon price, encouraging people to switch to cleaner substitutes without new regulation.

FLOW CHART

From an oil shock to lower oil imports

Iran war oil shock → Petrol prices rise → EVs relatively cheaper to run → Demand for EVs rises → **Lower oil imports and emissions**

SYLLABUS LINK

Topic 3: environmental sustainability and energy economics; how changes in relative prices affect consumer choices.

TRY THIS (6 MARKS)

Using a demand and supply diagram, explain how a rise in petrol prices affects the market for electric vehicles. Discuss **one** environmental implication.

Read more: ABC News, 9 Nov

Diagrams are illustrative, not to scale